- Entry E—Rent : $600
- TOTAL EXPENSES: $715

You can now take the total revenues ($1,245) and subtract out the total expenses ($715) to see that the company made $530 in profits this month.

Closing Entry

After this simple first month of business, they need to close the books and prepare for the next month's transactions. The goal of closing is to reset the income statement accounts to zero while doing something with the profit (or loss) that occurred during the period.

Tip: In any accounting system, all of the journal entries must be preserved. You cannot simply set accounts to zero; you must create journal entries to accomplish it.

To close the month, the business generates a special entry in our journals called the closing entry. It is going to take all of the revenue and expense accounts and write an entry for the exact balance. However, the entry will be debited for revenue (remember, debits reduce revenue) and credited for expenses. So, to close the sales revenue and expense accounts, we would record the following entries:

Table 10: Closing Entries for First Month

	Account #	Description	Debit	Credit
	4000	Sales Revenue	$1,245	
	5000	Rent Expense		$600
	5100	Postage		$12
	5200	Shipping Supplies		$28
	5300	Office Supplies		$75

Oops!

The above entry is not in balance. Accountants really frown upon out-of-balance entries! The difference of $530 has to be recorded somewhere. This difference, if a credit, represents the net income or profit for the period. (A debit difference would represent a net loss for the period).

The net income (or net loss) is recorded in the equity section of the balance sheet. To complete the above closing entry, the net income would be recorded as: